

Micron Technology, Inc.

MU NASDAQ

Buy	\$932.86 ▼ 0.27%	12M Price Target \$1100.00	52-Week Range \$114.25 – \$1255.00	Market Cap \$1.05T
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MU: Memory King Riding CHIPS Act + AI Capex Wave

WHAT HAPPENED

- MU basically flat today (-0.27%) but the interesting tell is the options flow — massive unusual call buying at \$920, \$925, \$930 strikes expiring this week. Someone is betting big that MU pushes higher near-term, and volume was 20x normal open interest on some strikes. That's not retail — that's institutional positioning.
- The Nvidia "decoupling" story matters here — headlines note NVDA's correlation with other chip stocks has collapsed to 0.03 (basically zero). Translation: chip stocks are no longer all moving together, so MU has to prove its own case now. So far, it's holding up fine near all-time highs while Western Digital (a storage peer) got crushed 13% this month.

WHY IT MATTERS

The setup here is that MU has quietly become the "second derivative" AI trade — you can't build an Nvidia GPU without Micron's HBM memory chips stacked next to it. With MU at \$933 and near the top of its 52-week range, the market is already pricing in a lot of good news, but the CHIPS Act subsidies (Micron got ~\$6.1B from the Commerce Department for Idaho and New York fabs) mean the U.S. government is literally co-financing their capacity expansion — that's a policy tailwind you can't overstate. The WDC selloff is worth watching because it tells you the market is separating "AI memory winners" (MU with HBM) from "commodity storage" (WDC with hard drives) — that's a bullish signal for MU's premium. Near-term, the call flow suggests smart money expects an earnings catalyst or news event soon, so I'd be leaning in, not out.

POLICY & POLITICAL WATCH

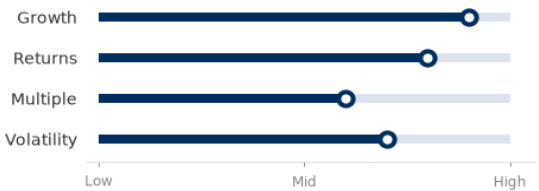
The big one is CHIPS Act 2.0 discussions in Congress — there's bipartisan momentum to extend semiconductor manufacturing subsidies beyond the original 2022 package, and if that passes, MU is one of the top three beneficiaries in the country. Also watch export controls on advanced memory to China — the Commerce Department has been tightening rules on HBM exports, which is a double-edged sword (hurts China revenue, but protects MU's tech lead and pricing power in the West). Finally, the Trump administration's tariff posture on Taiwan/Korea semiconductor imports is a wildcard — any tariffs on foreign-made memory chips would be a direct gift to MU as the only major U.S.-domiciled memory maker.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$932.86
12M Price Target	\$1100.00
Upside / (Downside)	+17.9%
Market Cap	\$1.05T
FY2026E Revenue	\$45,000M
FY2027E Revenue	\$58,000M
FY2026E EPS	\$18.50
FY2027E EPS	\$26.00
Fwd P/E	50.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$960.00	\$850.00
6 Months	\$1200.00	\$1050.00	\$800.00
1 Year	\$1400.00	\$1100.00	\$750.00
2 Years	\$1700.00	\$1300.00	\$650.00
5 Years	\$2500.00	\$1800.00	\$500.00
10 Years	\$4000.00	\$2500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.42%) and Consumer Discretionary (+1.15%) leading today — money is chasing growth again, which usually spills into semis. AI infrastructure names broadly remain the market's favorite theme thanks to relentless hyperscaler capex.

COOLING OFF: Materials and Energy fading — commodity-linked sectors losing steam as recession fears ease and money rotates to secular growth stories.

ROTATION WATCH: Money is rotating within semis, not out of them — Nvidia decoupling from the pack means investors are getting more selective. MU is one of the "chosen" names because HBM is the scarcest resource in the AI stack.

RELATED PLAY: If MU keeps running, watch the semi equipment names (Applied Materials, Lam Research, ASML) — they sell the machines MU needs to build all these new fabs, and they benefit from every CHIPS Act dollar too.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — decoupling from chip peers means it's now its own asset class, and it pulls MU along as the memory supplier of choice.
- AVGO (Broadcom): Custom AI chips for hyperscalers plus VMware software — the diversified AI winner.

MU CONTEXT: MU is leading its direct memory peer group by a mile — WDC down 13%, while MU holds near highs. That divergence tells us the market is rewarding HBM exposure specifically, not memory broadly. As long as that narrative holds, MU stays bid.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$880-910 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM market share loss to SK Hynix/Samsung, or memory pricing crash >25%

Hedging: Pair with a short on Western Digital (WDC) or buy protective puts 10% out of the money